



Republic of the Philippines
National Irrigation Administration
Central Office



MEMORANDUM CIRCULAR NO. 119
Series of 2023

TO : **SR. DEPUTY ADMINISTRATOR, DEPUTY ADMINISTRATORS, REGIONAL/DEPARTMENT/PROJECT MANAGERS, DIVISION MANAGERS, CHIEF CORPORATE ACCOUNTANTS, SUPPLY/PROPERTY OFFICERS, AND ALL OTHERS CONCERNED**

SUBJECT : **CONSTITUTION OF INVENTORY COMMITTEE AND FORMULATION OF PHYSICAL INVENTORY PLAN (PIP) FOR THE ONE-TIME CLEANSING OF PROPERTY, PLANT AND EQUIPMENT (PPE) ACCOUNT BALANCES OF THE NIA PURSUANT TO COA CIRCULAR NO. 2020-006 DATED JANUARY 31, 2020**

I. RATIONALE

As of December 31, 2022, the PPE account balance for the National Irrigation Administration (NIA) is Php 300.9 billion, constituting 92.60% of the agency's total assets. However, this same amount was a subject of an audit observation due to incomplete accounting and property records/documents.

Further, an evaluation of the recorded PPE account balances in both the accounting and property records has revealed significant disparities, giving rise to concerns about the accuracy of the reported amount in the financial statements. This condition, if not properly addressed, will consistently **cause an exception in the fairness of presentation of the financial position of the NIA**. Ultimately, it will hinder the management's ability to acquire dependable and valuable information necessary for making well-informed decisions and ensuring proper asset accountability.

II. SCOPE AND LIMITATION

This Physical Inventory Plan covers all PPE assets owned by the NIA, and is exclusively intended for facilitating the execution of the One-time PPE Cleansing process in accordance with the aforementioned COA Circular.

III. PURPOSE

This memorandum circular (MC) outlines the responsibilities and duties of the Inventory Committee and its members regarding the conduct of inventory taking, recognition of those found at station and disposition for non-existing/missing PPE items for the one-time cleansing of PPE accounts of the NIA.



Republic of the Philippines
National Irrigation Administration
Central Office

Additionally, this MC includes a sample template for creating a Physical Inventory Plan. This template is intended for use by offices that have not yet initiated their one-time PPE cleansing process. The template serves as a guide to help these offices outline their plan for conducting a thorough inventory of their assets as part of the PPE cleansing process.

IV. COMPOSITION OF THE INVENTORY COMMITTEE (IC) FOR THE ONE-TIME PPE CLEANSING

The Inventory Committee of NIA for the One-time PPE Cleansing shall be composed of the following:

INVENTORY COMMITTEE	DESIGNATION/OFFICE	PPE ACCOUNT
Chairperson	PPD Manager/Chief, Administrative Section	ALL PPE Accounts
Members	Accounting Division /Finance Section	ALL PPE Accounts
	Property Section/unit	ALL PPE Accounts
	Engineering - Contract and Monitoring Section/Division	Construction in Progress- Infrastructure Assets
	Operations - EMD	Motor Vehicles and Heavy/Light Equipment
	Operations - SMD	Water Supply System
Witness	COA and IAS Representative	

The constitution of the inventory committee does not have a set limit on the number of members. Furthermore, **offices are not restricted from involving personnel from other offices in forming their inventory committee.**

Item 4.3 of the said COA Circular provided that the members of the Inventory Committee shall be **temporarily relieved of all their regular duties** to devote their full time in the conduct of the physical inventory taking until the same is completed.

V. DUTIES AND RESPONSIBILITIES OF THE INVENTORY COMMITTEE/PROCEDURES

The general responsibilities of the Inventory Committee are as follows:

- a. Plan/Strategize on how to conduct and complete the physical count within the prescribed period;



Republic of the Philippines
National Irrigation Administration
Central Office

- b. Prepare a Physical Inventory Plan (PIP) containing, at the least, the specific assignment/duties of the Committee members, the cut-off date, and a schedule specifying the dates and locations of the inventory taking activities from start-up to the targeted completion of the physical inventory;
- c. **Submit PIP, duly approved by the Head of the Agency or his/her representative, to the COA Audit Team at least ten (10) calendar days before the scheduled start of inventory-taking activities;**
- d. Conduct the Physical Count and the cleansing or reconciliation of the PPE account balances of the NIA;
- e. Conduct regular meetings to monitor the progress of the conduct of Physical Count and the cleansing or reconciliation of PPE account balances;
- f. Record and document all pertinent matters related to the above subject matter, including but not limited to meetings, reports on the physical count and cleansing of PPE, and the like.
- g. Craft and issue relevant policies and guidelines regarding the One-time PPE cleansing.

Below are the responsibilities/actions to be taken by the Inventory Committee **before inventory taking**:

1. Request from the concerned offices all relevant reports and documents, such as but not limited to the following:

Documents/Reports	Responsible Office
Property, Plant and Equipment Ledger Cards (PPELCs)	Accounting/Admin and Finance Division
Construction In Progress Ledger Cards (CIPLCs)	Accounting/Admin and Finance Division
Property Cards (PC)	Property Section/Procurement and Property Unit (PPU)
Property Acknowledgement Receipts (PARs)	Property Section/PPU
List of Contracts/ Project Completion Reports (PCRs) or any related documents/reports pertaining to Infrastructure Assets, and Building and Other Structures	Engineering/Operations Departments/Division and General Services Division (GSD)
Latest Report on Physical Count of PPE / Inventory Count Form submitted by the different Offices as of December 31, 2022	Property Section/PPU

2. Prepare Annex E and F working papers. Annex E shall be prepared by the property, and/or Accounting/Admin and Finance IC, while Annex F shall be prepared by the Accounting/Admin and Finance, and/or Engineering and Operations IC.
3. Prepare lists of PPEs to be physically counted in ICF format (Annex A) as the basis for the inventory taking activities.
4. Prepare supplies and materials needed in the conduct of the physical count such as new property stickers and others.



Republic of the Philippines
National Irrigation Administration
Central Office

Below are the responsibilities/actions to be taken by the Inventory Committee **during** inventory taking:

Responsible Person	Functions/Activities
IC Chairperson	Ensure that the inventory taking activities are executed in accordance with the approved PIP. In case there are planned activities/procedures that cannot be efficiently performed, the Inventory Committee shall keep records of the alternative activities/procedures undertaken and the reasons for the deviation from the PIP.
IC concerned	Conduct the actual physical count to validate the existence, completeness and condition of PPEs owned by the NIA.
IC concerned	Assign new property number and tag all PPE item counted with new property stickers containing the following information, if applicable: a. New Property Number b. Description of the Property c. Model Number d. Serial Number e. Acquisition date and cost f. Accountable person g. Space for the validation/signature of the Inventory Committee
IC concerned	Record/document the physical count daily in the Inventory Count Form (ICF) and indicate all relevant information including but not limited to the following: 1. New Property Number 2. Condition of the PPEs such as: a.in good condition b. needing repair c. unserviceable d. obsolete 3. PPE items not included in the ICF but there is reasonable basis to consider the same as owned by the agency. This shall be described as "found at station" which shall be indicated under the "Remarks" column of the ICF. 4. PPEs included in the working papers but not found during the physical count shall be indicated in the "Remarks" column of the ICF as "non-existing" or "missing". 5. Other relevant information that may be useful during the reconciliation process.



Republic of the Philippines
National Irrigation Administration
 Central Office

Below are the responsibilities/actions to be taken by the Inventory Committee **after inventory taking**:

Responsible Person	Functions/Activities
IC Concerned	Prepare the ICF (Annex A) and submit to the IC Chairperson for review
IC Chairperson	Review the ICF
IC	Prepare the New Report on Physical Count of Property, Plant, and Equipment (RPCPPE- <i>Appendix 73 of GAM</i>) based on the data from the ICF. This shall be prepared in four (4) copies distributed as follows: Original - COA Copy 2 - Accounting Division/Section Copy 3 - Property Section Copy 4 - Inventory Committee The report shall be certified correct by the Inventory Committee Chairperson and Members, approved by the Head of Agency/Entity or his/her Authorized Representative, and verified by the COA Representative.
IC	Prepare the List of PPEs found at station (Annex B of the above-mentioned COA Circular) and establish the cost/value of the Found at station PPEs using the market/fair value of the item. Then submit to the Manager of PPD for review.
Manager, PPD/Head of the PPU	Review the List of PPEs found at Station
IC	Prepare the List of Non-Existing/Missings PPEs (Annex C) of the above-mentioned COA Circular) indicating on the remarks column "pending request for relief", if there is any
Manager, PPD/Head of the PPU	Review the List of Non-Existing/Missing PPEs
IC from PPD/PPU	Prepare Inventory and Inspection report of Unserviceable Property (IIRUP). See Appendix 74 form and Instructions of the GAM.
IC from PPD/PPU	Reconcile the Property Cards with the new RPCPPE and PPELCs
IC from PPD/PPU	Prepare PCs for items found at station
IC from PPD/PPU	Renew all PARs
IC from PPD/PPU	Verify non-existing/missing PPEs if these were already disposed of with supporting IIRUP or transferred/donated to Regions/Project Offices/other



Republic of the Philippines
National Irrigation Administration
 Central Office

	government agencies with supporting Property Transfer Report (PTR).
IC from PPD/PPU	Submit to the Accounting Unit the original copies of the IIRUP and PTRs for disposed and transferred PPE items, for recording in the books of accounts.
IC from PPD/PPU	Determine the person/s accountable for non-existing/missing PPEs not otherwise disposed of or transferred through the copy of the PARs, PCs and other available property records.
IC from PPD/PPU	Prepare a report to inform the Administrator of the non-existing/missing PPEs without pending request for relief and shall prepare letters addressed to each concerned accountable officer/personnel demanding the production of the PPE he/she is accountable for.
IC from Accounting Division/Finance Unit/Section	Reconcile the PPELCs/CIPLCs with the new RPCPPE and PCs
IC from Accounting Division/Finance Unit/Section	Update the PPELCs/CIPLCs
IC from Accounting Division/Finance Unit/Section	Prepare/maintain PPELCs of PPEs found at station
IC from Accounting Division/Finance Unit/Section	Prepare JEVs for non-existing/missing PPEs where accountability can still be pin-pointed to recognize the loss of PPE and to set up the corresponding receivables from the concerned accountable officer/personnel.
IC from Accounting Division/Finance Unit/Section	Prepare JEVs for transferred/donated PPEs not yet recorded in the books of accounts.
IC from Accounting Division/Finance Unit/Section	Ensure that the total balance of PPELCs/SLs tally with the balances of controlling PPE accounts in the General Ledger.
IC from Accounting Division/Finance Unit/Section	Prepare and submit the approved request for the derecognition of the non-existing/missing PPEs without available records, where accountability can no longer be distinguished, to the COA.
IC from Accounting Division/Finance Unit/Section	Prepare and maintain the Registry of Derecognized PPEs (RDPPE- <i>Annex D</i>), if there's any, as well as the copy of the approved request for derecognition including the records/documents pertaining thereto.



Republic of the Philippines
National Irrigation Administration
 Central Office

IC from Accounting Division/Finance Unit/Section	Disclose in the Notes to FS information on: a. The total amount of non-existing/missing PPEs included in the PPE balance, supported with breakdown as to sub-major PPE account group, together with the following additional information, as applicable: i. A request for authority for derecognition has been filed and still pending with the COA stating the date of filing thereof, or still to be filed; and/or ii. The amount and breakdown of derecognized PPEs which were transferred to the RCPPE based on the authority of derecognition granted by COA; and b. PPEs found at stations which are still needing appraisal, supported with breakdown as to sub-major PPE account groups.
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VI. DURATION OF THE INVENTORY TAKING

The process of conducting the physical inventory count will span a duration of **three months**.

VII. PHYSICAL INVENTORY PLAN (PIP)

Suggested format of the PIP /schedule of actual inventory taking is shown in *Annex G*. Please be reminded of the following columns/fields to be accomplished:

- a. **Office/Location** - the whereabouts/physical location of the PPEs to be physically counted.
- b. **List of PPE items** - This shall contain all PPEs to be physically counted and shall be prepared in a separate schedule using the ICF(Annex A) form.
- c. **No. of days** - estimated number of days to complete the Inventory taking.
- d. **Target Start Date** - Target date (mm/dd/yyyy) to start the Inventory taking.
- e. **Target Completion Date** - Target date (mm/dd/yyyy) to complete the Inventory taking
- f. **Reporting Date** - regular schedule or date to report the progress of the actual inventory taking.
- g. **Assigned Inventory Committee** - Name/s of Inventory Committee assigned to conduct the actual inventory.
- h. **Prepared by** - Printed Name and Signature of Inventory Committee Chairperson.
- i. **Reviewed by** - Printed Name and Signature of the Deputy Administrator for Administrative and Finance Sector or Administrative and Finance Division Manager.
- j. **Approved by-** Printed Name and Signature of the Head of the Agency or his/her representative.



Republic of the Philippines
National Irrigation Administration
Central Office

VIII. FLEXIBILITY CLAUSE

The Regional/Project Offices have the flexibility to either adopt this PIP format or create their own PIP that suits the specific needs of their respective offices.

IX. EFFECTIVITY

This Memorandum Circular shall take effect immediately after approval.

For your guidance and compliance.

ENGR. EDUARDO EDDIE G. GUILLEN

Acting Administrator

Date 13 SEP 2023



Republic of the Philippines
NATIONAL IRRIGATION ADMINISTRATION
 Office (Central/Region/Project)

Physical Inventory Plan (PIP)

[illegible]

**This shall be referenced using Annex A (Inventory Count Form).*

Prepared by:

Reviewed by:

Printed Name and Signature

Inventory Committee Chairperson

Printed Name and Signature

DAAF/AFD Manager

Approved by:

Printed Name and Signature

Head of the Agency or his/her representative

ONE-TIME PPE CLEANSING WORKING PAPER

PFE ACCOUNT: LAND IMPROVEMENTS, WATER SUPPLY SYSTEMS, CONSTRUCTION IN PROGRESS - INFRASTRUCTURE, BUILDING AND OTHER STRUCTURES, AND CONSTRUCTION IN PROGRESS - BUILDING AND OTHER STRUCTURES

[illegible]

3) Column O is to be accomplished Property Unit/Section

Reviewed by:

Name and Signature
Accounting/AFD Manager

Name and Signature
PPD Manager

PPE ACCOUNT :

PPD Manager



Republic of the Philippines
National Irrigation Administration
 Office (Central/Region/Project)

List of Non-Existing/Missing PPEs

PPE Account Title:

PPE Account Code:

Fund Source:

Article/Item	Description	Old Property No.	Acquisition Date	Unit Cost/Value	Total Cost/Value	Old PAR No.	Accountable Officer	Remarks

Prepared by:

Reviewed by:

Printed Name and Signature

IC from Property Unit

Printed Name and Signature

Head of Property Unit

Noted:

Printed Name and Signature

DAAF/ AFD Manager



Republic of the Philippines
National Irrigation Administration
 Office (Central/Region/Project)

List of PPEs Found at Station

PPE Account Title:

PPE Account Code:

Fund Source:

Article/Item	Description	New Property No. assigned	Acquisition Date	Unit Cost/Value	Total Cost/Value	New PAR No.	Accountable Officer	Office	Location/ Whereabouts	Remarks

Prepared by:

Reviewed by:

Printed Name and Signature

IC from Property Unit

Printed Name and Signature

Head of Property Unit

Noted:

Printed Name and Signature

DAAF/ AFD Manager



Republic of the Philippines
National Irrigation Administration
Office (Central/Region/Project)

Inventory Count Form

PPE Account Title:
PPE Account Code:
Fund Source:

Sheet No. ____ of ____

Article/Item	Description	Old Property No. assigned	New Property No. assigned (to be filled up during validation)	Acquisition Date	UOM	Unit Value	Quantity per property card	Quantity per Physical Count card	Old PAR No.	New PAR No.	Accountable Officer	Office	Location/ Whereabouts	Condition	Remarks (Found at Station/ Non-existing/Missing)

Prepared by:

Reviewed by :

Printed Name and Signature
Inventory Committee Member

Printed Name and Signature
Inventory Committee Member

Printed Name and Signature
Inventory Committee Member

Printed Name and Signature
Inventory Committee Member

Printed Name and Signature
Chairperson, Inventory Committee

Date : _____

Date : _____

Date : _____

Date : _____

Date : _____

Noted:

Printed Name and Signature
DAAF/ AFD Manager